
DOMAIN IV — MANAGING THE INTERNAL AUDIT FUNCTION

The chief audit executive (CAE) is responsible for managing the internal audit function in accordance with the internal audit charter and the Global Internal Audit Standards.

This responsibility includes:

- Planning strategically.
- Obtaining and deploying resources.
- Building relationships and communicating with stakeholders.
- Ensuring and improving the function's performance.

These responsibilities apply whether the person managing internal audit is employed by the organization or engaged through an external service provider.

The CAE may delegate appropriate responsibilities to qualified professionals but retains ultimate accountability.

A direct reporting relationship with the board supports fulfillment of the internal audit mandate. An administrative reporting relationship with an appropriately senior executive supports day-to-day operations and the function's organizational standing.

PRINCIPLE 9 — PLAN STRATEGICALLY

The CAE plans strategically to enable internal audit to fulfill its mandate and achieve long-term success.

This involves understanding the organization's governance, risk management, and control processes; developing an internal audit strategy; establishing methodologies; preparing a risk-based audit plan; and coordinating with other assurance providers.

Standard	Main purpose
9.1	Understand the organization's governance, risk management, and control processes.
9.2	Establish the internal audit function's long-term direction.
9.3	Establish consistent methods for performing and managing internal audit work.
9.4	Select and maintain a risk-based program of internal audit services.
9.5	Coordinate assurance activities and establish justified reliance on other providers.

STANDARD 9.1 — UNDERSTANDING GOVERNANCE, RISK MANAGEMENT, AND CONTROL PROCESSES

1. Standards & Guidance

Requirements

The CAE must understand the organization's governance, risk management, and control processes to develop an effective internal audit strategy and plan.

In understanding governance, the CAE must consider how the organization:

- Establishes strategic objectives and makes strategic and operational decisions.
- Oversees risk management and control.
- Promotes an ethical culture.
- Implements performance management and accountability.
- Structures its management and operating functions.
- Communicates risk and control information.
- Coordinates activities and communications among the board, management, and internal and external assurance providers.

In understanding risk management and control, the CAE must consider how the organization identifies and assesses significant risks and selects appropriate controls.

This includes risks affecting:

- Reliability and integrity of financial and operational information.
- Effectiveness and efficiency of operations and programs.
- Safeguarding of assets.
- Compliance with laws and regulations.

Considerations for Implementation

The CAE should gather information from multiple sources, including board and management discussions, meeting minutes, prior audit work, and reports from other assurance and advisory providers.

Understanding governance includes examining decision-making structures, committee responsibilities, accountability arrangements, ethical expectations, and the maturity of governance processes.

Understanding risk management includes considering risk appetite, risk tolerance, risk management frameworks, recent risk assessments, and the perspectives of the board and management.

Understanding control includes identifying key controls linked to organizational objectives and considering available evidence about their design and operation.

An organizationwide risk and control matrix can help connect:

- Organizational objectives.

- Significant risks.
- Key controls.
- Existing assessments of control design and operating effectiveness.

The understanding developed should inform actual audit priorities and strategic choices.

Examples of Evidence of Conformance

- Documented analysis of governance, risk management, and control processes.
- Reviewed board and committee charters.
- Notes from discussions with governance and risk management personnel.
- Reviews of board minutes and relevant regulatory communications.
- Analysis of risk appetite and risk tolerance.
- Reviewed business strategies and plans.
- Staff orientation or training records.
- Risk and control matrices demonstrating the CAE's understanding.

2. Audit Focus Areas

- Understanding of organizational strategy and objectives.
- Governance structure and decision-making authority.
- Ethical culture and accountability.
- Risk management maturity and risk appetite.
- Identification of significant financial and operational risks.
- Linkage between risks and key controls.
- Use of this understanding in audit strategy and planning.

3. Risks

Risk	Potential consequence
Internal audit has an incomplete understanding of organizational objectives	Audit priorities may not address matters critical to organizational success.
Governance arrangements are misunderstood	Oversight gaps or unclear accountability may be overlooked.
Management's risk information is accepted without appropriate consideration	Significant or emerging risks may be missed.
Key controls are not linked to significant risks	Assurance work may focus on controls that provide limited risk coverage.
Understanding is outdated	The audit strategy and plan may no longer reflect the organization's circumstances.

4. Controls — Suggested

Control	Type
Structured organizational understanding assessment covering governance, risk management, and control	Preventive
Documented discussions with the board, management, and relevant assurance providers	Preventive
Objective–risk–control mapping	Preventive
Review of information from multiple sources to identify inconsistencies and omissions	Detective
Updates following significant organizational or risk changes	Corrective
CAE review of how the documented understanding informs audit priorities	Detective

5. Audit Procedures — Suggested

Procedure	Required evidence
Compare internal audit’s understanding of objectives with the organization’s approved strategy.	Strategy, business plans, internal audit planning records
Review how governance structures, committee responsibilities, and decision-making arrangements were considered.	Charters, organizational charts, delegated authorities, meeting minutes
Check whether ethical culture, performance management, and accountability were included.	Ethics policies, performance reports, CAE assessment notes
Examine how risk appetite, risk tolerance, and risk management maturity informed planning.	Risk appetite statement, risk assessments, discussion records
Select significant objectives and trace them to risks and key controls.	Risk and control matrix, process documentation
Trace significant governance or control concerns into audit strategy or plan decisions.	Prior reports, strategy analysis, audit plan rationale

6. Red Flags

- Planning records contain generic descriptions unrelated to the organization.
- No documented interaction with key governance or risk personnel.
- Risk assessments omit major strategic initiatives.
- Organizational changes are absent from internal audit’s understanding.
- Controls are listed without identifying the risks they address.
- Significant concerns in previous reviews have not influenced planning.

7. Common Findings — Illustrative Examples

- Internal audit has not documented how governance arrangements affect audit priorities.
- The planning process does not consider the organization's risk appetite.
- Risk and control mapping excludes significant operational objectives.
- Information from regulators and other assurance providers is not considered.
- Internal audit's understanding has not been updated following restructuring.

8. Professional References

- Global Internal Audit Standards — Standard 9.1.
 - Organization's board and committee charters.
 - Organization's strategic and business plans.
 - Organization's adopted governance, risk management, and control frameworks.
 - Applicable requirements relevant to the organization's governance, risk management, and control processes.
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STANDARD 9.2 — INTERNAL AUDIT STRATEGY

1. Standards & Guidance

Requirements

The CAE must develop and implement an internal audit strategy that:

- Supports the organization's strategic objectives and success.
- Aligns with the expectations of the board, senior management, and other key stakeholders.
- Guides the internal audit function toward fulfillment of its mandate.

The strategy must include:

- A vision for the internal audit function.
- Strategic objectives.
- Supporting initiatives.

The CAE must periodically review the strategy with the board and senior management.

Considerations for Implementation

The strategy should begin with an understanding of the organization's direction, stakeholder expectations, and the services established in the internal audit charter.

The vision describes the desired future state of internal audit. A three-to-five-year horizon is an example in the guidance, not a mandatory duration.

Strategic objectives translate the vision into achievable targets. Supporting initiatives describe the actions needed to reach those targets.

Useful development approaches include:

- Assessing strengths, weaknesses, opportunities, and threats.
- Comparing current capabilities with the desired future state.
- Considering competency development.
- Evaluating technology that could improve effectiveness and efficiency.
- Incorporating opportunities to improve the function as a whole.

Initiatives should be prioritized and assigned target dates. Progress can be monitored through relevant performance measures.

The strategy should be reconsidered when organizational objectives or stakeholder expectations change. Other review triggers may include changes in leadership, relevant requirements, governance maturity, or quality assessment results.

Examples of Evidence of Conformance

- Documented strategy containing a vision, objectives, and supporting initiatives.
- Records of discussions about stakeholder expectations.
- Analyses supporting strategic choices.
- Methodologies for developing, reviewing, and monitoring the strategy.
- Progress reports and periodic assessments of strategic initiatives.

2. Audit Focus Areas

- Alignment with organizational strategy.
- Connection to the internal audit mandate.
- Clarity of the vision and strategic objectives.
- Practicality and prioritization of supporting initiatives.
- Competency and technology development.
- Monitoring of implementation.
- Periodic review with the board and senior management.

3. Risks

Risk	Potential consequence
No documented strategic direction	Internal audit development becomes reactive and fragmented.
Strategy is disconnected from organizational objectives	Resources may be invested in activities with limited organizational value.
Objectives are vague or unsupported by initiatives	The strategy cannot be implemented or evaluated effectively.
Initiatives lack resources or ownership	Delivery is delayed or abandoned.
Strategy is not reviewed when circumstances change	Internal audit capabilities and services may become misaligned with stakeholder needs.

4. Controls — Suggested

Control	Type
Strategy template requiring a vision, objectives, and supporting initiatives	Preventive
Mapping of internal audit objectives to the mandate and organizational priorities	Preventive
Initiative plans with owners, milestones, resource needs, and target dates	Preventive
Periodic strategy discussions with the board and senior management	Detective
Progress reporting supported by measurable indicators	Detective
Documented strategy revisions following significant changes	Corrective

5. Audit Procedures — Suggested

Procedure	Required evidence
Verify that the strategy includes all three required components.	Current strategy
Trace strategic objectives to organizational priorities and the internal audit mandate.	Organizational strategy, charter, alignment analysis
Assess whether supporting initiatives are sufficiently specific to implement.	Initiative plans, milestones, resource estimates
Examine how stakeholder expectations informed the strategy.	Interviews, meeting minutes, correspondence
Verify periodic review with the board and senior management.	Review schedules, presentations, minutes
Test selected reported achievements against supporting records.	Progress reports, training records, implemented processes or tools

Procedure	Required evidence
Evaluate whether significant organizational changes prompted reconsideration of the strategy.	Change records, revised strategy, decision logs

6. Red Flags

- The annual engagement list is presented as the entire internal audit strategy.
- Strategic objectives have no supporting initiatives.
- Initiatives remain unchanged despite major organizational changes.
- Progress is reported without measurable evidence.
- Technology purchases are not linked to a defined strategic need.
- No evidence of periodic strategy discussions with the board.

7. Common Findings — Illustrative Examples

- The strategy does not include a clear vision.
- Strategic initiatives lack owners and target dates.
- Competency gaps identified during planning are not addressed.
- Strategy review does not include senior management.
- Progress reporting describes activities without showing progress toward objectives.
- Quality assessment findings have not been considered in strategic development.

8. Professional References

- Global Internal Audit Standards — Standard 9.2.
- Standard 12.2 — Performance Measurement.
- Internal audit charter and mandate.
- Organization's strategic objectives.
- Internal and external quality assessment results.

STANDARD 9.3 — METHODOLOGIES

1. Standards & Guidance

Requirements

The CAE must establish methodologies that guide internal audit in a systematic and disciplined manner.

The methodologies must support:

- Implementation of the internal audit strategy.
- Development of the internal audit plan.
- Conformance with the Global Internal Audit Standards.

The CAE must:

- Evaluate the effectiveness of the methodologies.
- Update them as necessary to improve the function and respond to significant changes.
- Provide internal auditors with training on the methodologies.

Considerations for Implementation

Methodologies translate the Standards into practical instructions, criteria, and processes suited to the organization.

Their form and detail may vary according to organizational size, complexity, maturity, industry, and regulatory expectations. They may be maintained as procedures, an internal audit manual, or workflows within audit management software.

Relevant areas include:

- Organizationwide and engagement-level risk assessment.
- Developing and updating the audit plan.
- Balancing assurance and advisory services.
- Coordinating with other assurance providers.
- Managing external service providers.
- Planning and performing engagements.
- Communicating throughout internal audit services.
- Retaining and releasing records.
- Monitoring implementation of recommendations or action plans.
- Quality assurance and improvement.
- Performance measurement.
- Additional services included in the mandate.

Quality assessments should consider whether methodologies are effective and consistently applied.

Changes in Standards, relevant requirements, technology, department structure, or leadership may prompt review and revision.

Examples of Evidence of Conformance

- Documented methodologies or software workflows.
- Training schedules, materials, attendance records, and acknowledgments.
- Communications explaining methodology changes.
- Quality reviews showing application of the methodologies.
- References linking procedures to relevant Standards.
- Version histories and documented updates.

2. Audit Focus Areas

- Coverage of the internal audit lifecycle.
- Alignment with the strategy, plan, and Standards.
- Clarity of instructions and decision criteria.
- Staff training and understanding.
- Consistent application across engagements.
- Control of methodology versions.
- Evaluation and improvement of methodology effectiveness.

3. Risks

Risk	Potential consequence
Methodologies are incomplete	Important activities may be performed inconsistently or omitted.
Staff apply different risk or finding criteria	Results may not be comparable or reliable.
Methodologies are outdated	Work may no longer reflect applicable requirements or current practices.
Staff receive insufficient training	Documented processes may not be implemented correctly.
Effectiveness is not evaluated	Recurring weaknesses remain embedded in audit practice.

4. Controls — Suggested

Control	Type
Controlled methodology repository with designated owners and effective dates	Preventive
Mapping of methodologies to relevant Standards	Preventive
Structured training for new and revised methodologies	Preventive
Engagement reviews checking practical application	Detective
Periodic methodology effectiveness assessments	Detective
Revision process addressing quality findings and significant changes	Corrective

5. Audit Procedures — Suggested

Procedure	Required evidence
Assess whether methodologies cover planning, execution, reporting, follow-up, and management activities.	Manual, procedures, software workflows
Check alignment with the strategy and relevant Standards.	Strategy, methodology mapping
Sample engagements and compare actual practice with applicable methodologies.	Workpapers, reports, review notes

Procedure	Required evidence
Verify training on new or revised methods.	Training materials, attendance, communications
Assess whether users can identify and access the current version.	Repository, version history, withdrawn templates
Review evidence that methodology effectiveness is evaluated.	Quality reviews, staff feedback, assessment reports
Trace identified weaknesses to revisions or other corrective action.	Action logs, revised procedures, follow-up reviews

6. Red Flags

- Multiple conflicting templates remain in use.
- Staff cannot explain the basis for finding ratings.
- Significant methodology changes are communicated only informally.
- Audit software workflows differ from the documented manual.
- The same documentation weaknesses recur across engagements.
- No training follows major process changes.

7. Common Findings — Illustrative Examples

- Methodologies do not define how significant audit plan changes are handled.
- Criteria for evaluating findings are applied inconsistently.
- Follow-up procedures do not explain how implementation is verified.
- Staff continue using superseded templates.
- The methodology review process does not consider quality assessment results.
- Records retention and release procedures are incomplete.

8. Professional References

- Global Internal Audit Standards — Standard 9.3.
 - Principle 13 — Plan Engagements Effectively.
 - Principle 14 — Conduct Engagement Work.
 - Principle 15 — Communicate Engagement Results and Monitor Action Plans.
 - Standard 14.3 — Evaluation of Findings.
 - Standard 14.5 — Engagement Conclusions.
 - Standard 15.2 — Confirming the Implementation of Recommendations or Action Plans.
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STANDARD 9.4 — INTERNAL AUDIT PLAN

1. Standards & Guidance

Requirements

The CAE must create an internal audit plan supporting achievement of the organization's objectives.

The plan must be based on a documented assessment of organizational strategies, objectives, and risks. That assessment must:

- Be performed **at least annually**.
- Incorporate input from the board and senior management.
- Reflect the CAE's understanding of governance, risk management, and control processes.

The internal audit plan must:

- Consider the mandate and the full range of agreed internal audit services.
- Specify services supporting evaluation and improvement of governance, risk management, and control.
- Consider coverage of IT governance, fraud risk, compliance and ethics program effectiveness, and other high-risk areas.
- Identify the human, financial, and technological resources needed.
- Remain dynamic and be updated promptly in response to relevant changes.

The CAE must review and revise the plan as necessary and communicate promptly to the board and senior management:

- Effects of resource limitations on audit coverage.
- Reasons for not including an assurance engagement in a high-risk area.
- Conflicting demands for services from major stakeholders.
- Scope limitations or restrictions on access to information.

The CAE must discuss the plan and significant interim changes with the board and senior management.

The board must approve the plan and significant changes to it.

Considerations for Implementation

An audit universe can organize potentially auditable business units, processes, programs, and systems and link them to organizational objectives and risks.

The risk assessment should consider both organizationwide risks and risks specific to auditable units. Cross-cutting risks—such as fraud, ethics, technology, third parties, and compliance—may require consideration across multiple areas.

Internal audit should independently review and validate key risks identified through management's risk processes. Reliance on management's risk information should be supported by a conclusion that those processes are effective.

Engagement selection should consider:

- Risk significance and known control effectiveness.
- Required engagements.
- Strategic importance.
- Existing assurance coverage.
- Board and management requests.
- Potential organizational benefits.
- Available resources and competencies.

The proposed plan should explain engagement purpose, preliminary scope, selection rationale, service type, and resource needs. It may reserve capacity for emerging risks and unplanned requests.

Significant-change criteria should be agreed and documented. Examples include cancelling or postponing work addressing significant risks or critical objectives.

Where urgent risks require changes before formal discussion is possible, guidance calls for immediate board notification and formal approval as soon as possible.

The annual assessment is a minimum requirement. The appropriate frequency of interim updates depends on changing circumstances.

Examples of Evidence of Conformance

- Approved internal audit plan.
- Documented risk assessment and prioritization.
- Records of board and senior management input.
- Meeting minutes discussing coverage, resources, and significant changes.
- Documented rationale for engagement selection and high-risk exclusions.
- Plan distribution records.
- Methodologies for risk assessment and plan changes.

2. Audit Focus Areas

- Completeness and currency of the risk assessment.
- Connection between organizational objectives and planned engagements.
- Consideration of significant and emerging risks.

- Coverage of IT governance, fraud, ethics, and compliance.
- Resource feasibility.
- Transparency about high-risk exclusions and restrictions.
- Board approval and control of significant plan changes.

3. Risks

Risk	Potential consequence
The plan repeats previous work without a current risk assessment	Important changes in risk exposure may be missed.
High-risk areas are excluded without explanation	The board may assume assurance coverage exists when it does not.
Resource assumptions are unrealistic	Planned work may be delayed, reduced, or performed inadequately.
Unplanned requests displace critical assurance work	Stakeholder demand may override risk priorities.
Significant changes bypass board approval	The approved assurance coverage may be materially reduced without oversight.
Scope and access restrictions are not escalated	Internal audit's ability to provide assurance may be compromised.

4. Controls — Suggested

Control	Type
Documented organizationwide risk assessment at least annually	Preventive
Risk-based engagement prioritization with recorded rationale	Preventive
Capacity and capability assessment linked to the proposed plan	Preventive
Board approval of the plan and significant revisions	Preventive
Tracking of high-risk exclusions, resource limitations, and access restrictions	Detective
Monitoring of emerging risks and changes affecting coverage	Detective
Controlled plan revision process with timely communication	Corrective

5. Audit Procedures — Suggested

Procedure	Required evidence
Verify that the documented risk assessment was performed at least annually.	Dated assessment, supporting data, review records
Assess whether board and senior management input was incorporated.	Meeting notes, submissions, planning correspondence
Trace significant risks to planned engagements or other assurance coverage.	Risk assessment, plan, assurance map
Examine reasons for excluding high-risk areas and evidence of communication.	Exclusion rationale, board reports, minutes
Check explicit consideration of IT governance, fraud, compliance, and ethics.	Risk assessment, coverage analysis, engagement descriptions
Reconcile planned work with available resources and skills.	Capacity model, budget, skills matrix
Sample significant plan changes and verify discussion and board approval.	Version history, change requests, minutes
Examine how emerging risks, conflicting requests, and access restrictions affected the plan.	Risk updates, request log, restriction records

6. Red Flags

- The audit plan is largely unchanged despite major organizational developments.
- Engagements are selected mainly because they are easy to complete.
- High-risk areas are repeatedly postponed.
- Advisory requests replace assurance work without documented consideration of consequences.
- Available audit hours exclude leave, training, supervision, or administration.
- Significant cancellations have no board approval.
- Management restricts access without board visibility.

7. Common Findings — Illustrative Examples

- The plan is not supported by an annual documented risk assessment.
- High-risk exclusions lack documented rationale.
- Fraud and IT governance coverage have not been explicitly considered.
- Resource limitations were not communicated to the board.
- Significant plan revisions were implemented without required approval.
- Risk assessment updates do not reflect major systems or operational changes.
- Reliance on management's risk information was not supported by evaluation of its effectiveness.

8. Professional References

- Global Internal Audit Standards — Standard 9.4.
 - Standard 9.1 — Understanding Governance, Risk Management, and Control Processes.
 - Standard 11.3 — Communicating Results.
 - Internal audit mandate and charter.
 - Organizationwide risk assessment and audit planning methodologies.
 - Applicable requirements for specific audit engagements.
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STANDARD 9.5 — COORDINATION AND RELIANCE

1. Standards & Guidance

Requirements

The CAE must coordinate with internal and external assurance providers and consider relying on their work.

Coordination helps:

- Reduce duplication.
- Identify gaps in coverage of significant risks.
- Improve the overall value of assurance services.

If appropriate coordination cannot be achieved, the CAE must raise concerns with senior management and, where necessary, the board.

When internal audit relies on another assurance provider's work:

- The CAE must document the basis for reliance.
- The CAE remains responsible for the conclusions reached by internal audit.

Considerations for Implementation

The CAE should identify relevant assurance and advisory providers and understand their roles, reporting relationships, planned activities, and completed work.

Internal providers may include compliance, risk management, information security, financial control, health and safety, legal, and quality assurance functions.

Coordination may include:

- Aligning the nature, extent, and timing of work.
- Developing a common understanding of methods and terminology.

- Sharing work programs and reports where appropriate.
- Sharing risk information.
- Developing joint risk assessments or reporting arrangements.

Information sharing should respect organizational confidentiality requirements.

An assurance map can link significant risks to assurance providers and show gaps, duplication, and the extent of coverage.

Evaluating Reliance

The evaluation should consider:

- Actual or potential conflicts of interest and related disclosures.
- Reporting relationships and organizational independence.
- Competence, experience, qualifications, and certifications.
- Objectivity and due professional care.
- Objectives, scope, methodology, and timing of the work.
- Planning, supervision, documentation, and review practices.
- Whether findings and conclusions are supported by sufficient, reliable, and relevant evidence.

Reliance may be inappropriate even when a provider has relevant qualifications.

Where work is insufficient, internal audit may perform additional testing, obtain further information, or independently perform the necessary assurance work.

For continuing reliance arrangements, the parties should document responsibilities, expected assurance, testing specifications, and evidence requirements.

Examples of Evidence of Conformance

- Communications defining assurance and advisory responsibilities.
- Coordination meeting records.
- Assurance maps or combined assurance plans.
- Documented methodology for evaluating reliance.
- Completed evaluations supporting reliance decisions.
- Agreements specifying assurance work and evidence expectations.
- Records of escalation where coordination is inadequate.

2. Audit Focus Areas

- Identification of relevant assurance providers.
- Coverage gaps and unnecessary duplication.
- Coordination of planned work.
- Competence, objectivity, and independence evaluations.

- Sufficiency of supporting evidence.
- Documentation of reliance decisions.
- Retention of CAE responsibility for internal audit conclusions.
- Confidentiality in information sharing.

3. Risks

Risk	Potential consequence
Assurance providers operate without coordination	Significant risks may be missed while other areas are repeatedly reviewed.
Internal audit relies on work without evaluating its quality	Conclusions may be unsupported or misleading.
Conflicts or reporting relationships are overlooked	Reliance may be placed on work lacking objectivity.
Scope or timing does not match internal audit's needs	The relied-upon work may not address the relevant risk or period.
Responsibility for conclusions is misunderstood	Internal audit may fail to take ownership of its assurance.
Information is shared without appropriate safeguards	Confidential information may be exposed.

4. Controls — Suggested

Control	Type
Register of assurance providers, responsibilities, and planned coverage	Preventive
Assurance mapping of significant risks	Detective
Coordination meetings proportionate to organizational complexity	Preventive
Documented evaluation before reliance is accepted	Preventive
Review of the provider's evidence, scope, methodology, and conclusions	Detective
Agreements defining continuing reliance and information-sharing arrangements	Preventive
Additional testing or independent work where reliance is insufficient	Corrective
Escalation of unresolved coordination problems	Corrective

5. Audit Procedures — Suggested

Procedure	Required evidence
Assess whether the provider inventory includes relevant internal and external assurance functions.	Organizational structure, provider register, contracts
Review the assurance map for significant uncovered risks and duplication.	Assurance map, risk register, provider plans

Procedure	Required evidence
Examine whether coordination affects the nature, scope, or timing of planned work.	Meeting records, revised plans, shared schedules
Sample reliance decisions and inspect their documented basis.	Reliance evaluations, CAE review records
Evaluate how competence, objectivity, reporting relationships, and conflicts were considered.	Credentials, declarations, reporting structures
Compare relied-upon work with the scope, period, and evidence needed for internal audit's conclusions.	Provider reports, workpapers, internal audit objectives
Check whether identified limitations led to additional testing or independent assurance work.	Gap assessments, supplementary testing, conclusions
Verify escalation of significant unresolved coordination concerns.	Correspondence, management and board minutes

6. Red Flags

- Reliance is based solely on the provider's reputation.
- Internal audit receives a report but cannot evaluate its supporting evidence.
- Provider work addresses a different period or risk than the engagement requires.
- Conflicts of interest have not been considered.
- Multiple providers review the same controls while significant risks remain uncovered.
- Provider conclusions are copied into internal audit reports without evaluation.
- Coordination problems persist without escalation.

7. Common Findings — Illustrative Examples

- The basis for reliance is not documented.
- Assurance mapping does not identify significant coverage gaps.
- Provider competence is assessed, but objectivity and reporting relationships are not.
- Internal audit relies on outdated work without considering subsequent changes.
- Continuing reliance arrangements do not define testing and evidence expectations.
- Weaknesses in provider work were identified but no additional testing was performed.
- Internal audit's conclusion is not supported by the combined evidence obtained.

8. Professional References

- Global Internal Audit Standards — Standard 9.5.
 - Organization's assurance coordination and reliance methodology.
 - Assurance maps and combined assurance plans.
 - Agreements with internal and external assurance providers.
 - Applicable organizational confidentiality and information-sharing requirements.
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